- **Amortization:** It is an accounting term that refers to the process of allocating the cost of an intangible asset over a period of time. It also refers to the repayment of loan principal over time.
- **Exhaustion:** Assets like plantation, livestock loose their value with lapse of time as they are being used or consumed. These assets have a definite period of life after which they exhaust in value and become useless.
- **Depletion:** Assets like oil wells, mines, quarries etc. loose their value on extraction of oil, mineral and metals.
- **Deterioration:** Depreciation by deterioration is found in case of those assets which have a temporary or short period of life like food articles.
- **Assets Replacement** is the replacement of existing assets at a future date.
- **Residual or Scrap Value:** Residual or scrap value is an estimated sale value of the asset at the end of its economic life.

EVALUATION

HVZZCJ

Multiple Choice Questions:

1. Depreciation is charged on _____
   a. Fixed Asset
   b. Current Asset
   c. Contingent Asset
   d. All of the above
2. Which one of the following is not external cause of depreciation?
   a. Effluxion of time
   b. Obsolescence
   c. Permanent fall in market value
   d. Wear and tear
3. Which one of the following is not an internal cause of depreciation?
   a. Exhaustion
   b. Depletion
   c. Deterioration
   d. Passage of time
4. In case any addition is made to any asset during the financial year, depreciation should be calculated _____
   a. On a pro-rata basis
   b. For full year
   c. At a higher rate
   d. At a lower rate
5. Depletion method is used in respect of _____.
   a. Wasting assets
   b. Fixed assets
   c. Premises
   d. Patents

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